Welcome to Principles of Macroeconomics 102

Instructor: Kshitiz Mishra

What can you expect to learn in this course

- Understand concepts of GDP, Inflation, Unemployment, Monetary Policy and Fiscal Policy, Exchange Rates
- Monetary Policy is conducted by RBI via interest rates and money supply to maintain price stability → inflation
- Fiscal Policy by Government via taxes and government expenditure, to increase growth, correct market failures (development policy), lower unemployment

Goal of Macroeconomic Policy

- Let’s say Govt achieves low inflation, high growth, high employment.
- (and reasonable levels of equality?)
- Not achievable
- Ultimate development prescription however

Course Structure

- 15 weeks course duration
- 5 sections (Part IV-VIII - Mankiw), excluding Introduction
- 5 Quizzes, 1 Hour each for each section, with 20% weightage overall
- 5 Assignments for each section, again 20% weightage
- 30% each for Mid-term and Final exam.
- Textbooks:
  - **Principles of Macroeconomics, Gregory Mankiw, 6th Edition.**
    - Mankiw is solely a textbook?
  - Macroeconomic Essentials, Peter Kennedy, 1st or 3rd Edition.
  - Principles of Macroeconomics, Soumyen Sikdar, 2nd Edition.

N. Gregory Mankiw

Essentials of Economics

Sixth Edition

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Ten Principles of Economics

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Ten Principles of Economics

- Economy – “oikonomos” (Greek)
  - “One who manages a household”
- Household - many decisions
  - Allocate scarce resources
    - Ability, effort, and desire
- Society - many decisions
  - Allocate resources
  - Allocate output

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Ten Principles of Economics

- Resources are scarce
- Scarcity
  - The limited nature of society's resources
- Economics
  - Study of how society manages its scarce resources

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Ten Principles of Economics

- Economists study:
  - How people make decisions
  - How people interact with one another
  - Analyze forces and trends that affect the economy as a whole

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How People Make Decisions

Principle 1: People face trade-offs (no free lunches)

- Making decisions
  - Trade off one goal against another
  - Student – time
  - Parents – income
  - Society
    - National defense vs. consumer goods
    - Clean environment vs. high level of income
    - Efficiency vs. equality

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How People Make Decisions

- Efficiency
  - Society getting the most it can from its scarce resources
  - Size of the economic pie
- Equality
  - Distributing economic prosperity uniformly among the members of society
  - How the pie is divided into individual slices
  - *Does redistribution affect incentives to 'work hard' and then efficiency?*

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How People Make Decisions

Principle 2: The cost of something is what you give up to get it

- People face trade-offs
  - Make decisions
    - Compare cost with benefits of alternatives: Decision to go to college for a rising sports star
- Opportunity cost
  - Whatever must be given up to obtain one item
  - Time

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How People Make Decisions

Principle 3: Rational people think at the margin

- What is Rationality?
- Rational people
  - Systematically & purposefully do the best they can to achieve their objectives
- Marginal changes
  - Incremental changes to a plan of action
- Explains diamond-water paradox
- Rational people take action only if
  - Marginal benefits > Marginal costs

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How People Make Decisions

Principle 4: People respond to incentives

- Incentive
  - Something that induces a person to act
  - Higher price
    - Buyers - consume less
    - Sellers - produce more
  - Public policy
    - Change costs or benefits
    - Change people's behavior
    - *Peltzman effect*
    - *Picking up children from school (Freakonomics)*

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How People Interact

Principle 5: Trade can make everyone better off

- Trade
  - Allows each person to specialize in the activities he or she does best
  - Enjoy a greater variety of goods and services at lower cost

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How People Interact

Principle 6: Markets are usually a good way to organize economic activity

- What is a market?
- Communist countries – central planning
  - Government officials (central planners) make all decisions
  - *56 different types of screws in a input output model*

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How People Interact

- Market economy - allocates resources
  - Through decentralized decisions of many firms and households
  - As they interact in markets for goods and services
  - Guided by prices and self interest
- Adam Smith's "invisible hand"
  - *How far does someone take 'self-interest' → negative externalities*

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How People Interact

Principle 7: Governments can sometimes improve market outcomes

- We need government
  - Enforce rules and maintain institutions
    - Enforce property rights
  - Promote efficiency
    - Avoid market failure (negative externalities)
    - Monopoly
  - Promote equality
    - Avoid disparities in economic well-being

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How the Economy as a Whole Works

Principle 8: A country's standard of living depends on its ability to produce goods and services

- Large differences in living standards
  - Among countries
  - Over time
  - Compounding effect of rate of growth
    - 6%-18x, 8%-47x, 10%-117x (in 50 years)
- Explanation: differences in productivity

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How the Economy as a Whole Works

Principle 9: Prices rise when the government prints too much money

- Inflation
  - An increase in the overall level of prices in the economy
- Causes for large / persistent inflation
  - Growth in quantity of money
    - Value of money falls

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How the Economy as a Whole Works

Principle 10: Society faces a short-run trade-off between inflation and unemployment

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Table 1

Ten Principles of Economics

How People Make Decisions

1: People Face Trade-offs
2: The Cost of Something Is What You Give Up to Get It
3: Rational People Think at the Margin
4: People Respond to Incentives

How People Interact

5: Trade Can Make Everyone Better Off
6: Markets Are Usually a Good Way to Organize Economic Activity
7: Governments Can Sometimes Improve Market Outcomes

How the Economy as a Whole Works

8: A Country's Standard of Living Depends on Its Ability to Produce Goods and Services
9: Prices Rise When the Government Prints Too Much Money
10: Society Faces a Short-Run Trade-off between Inflation and Unemployment

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